

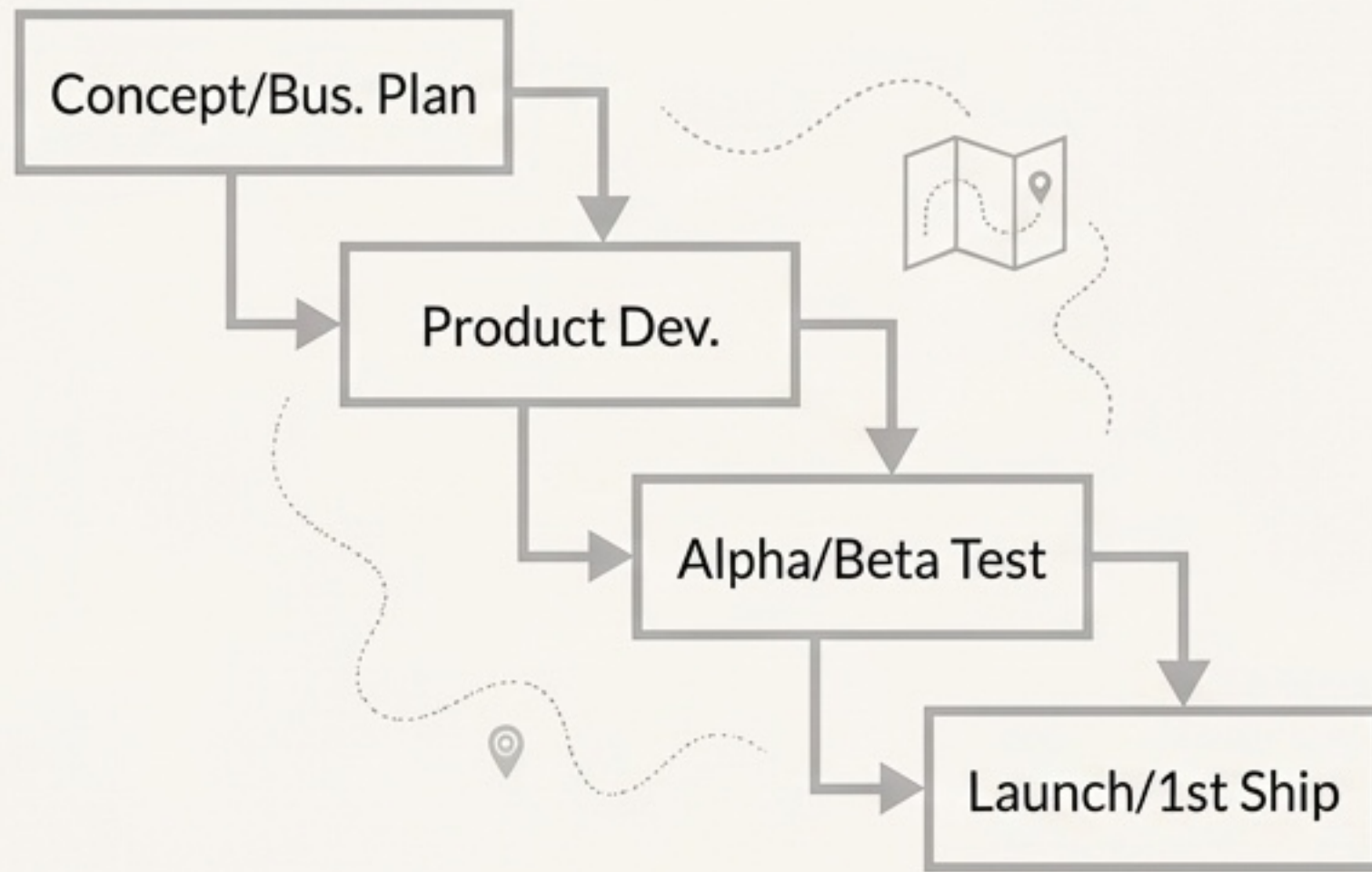


The Quest for Validation

A Founder's Guide to De-Risking Your Idea with the Lean Startup Model

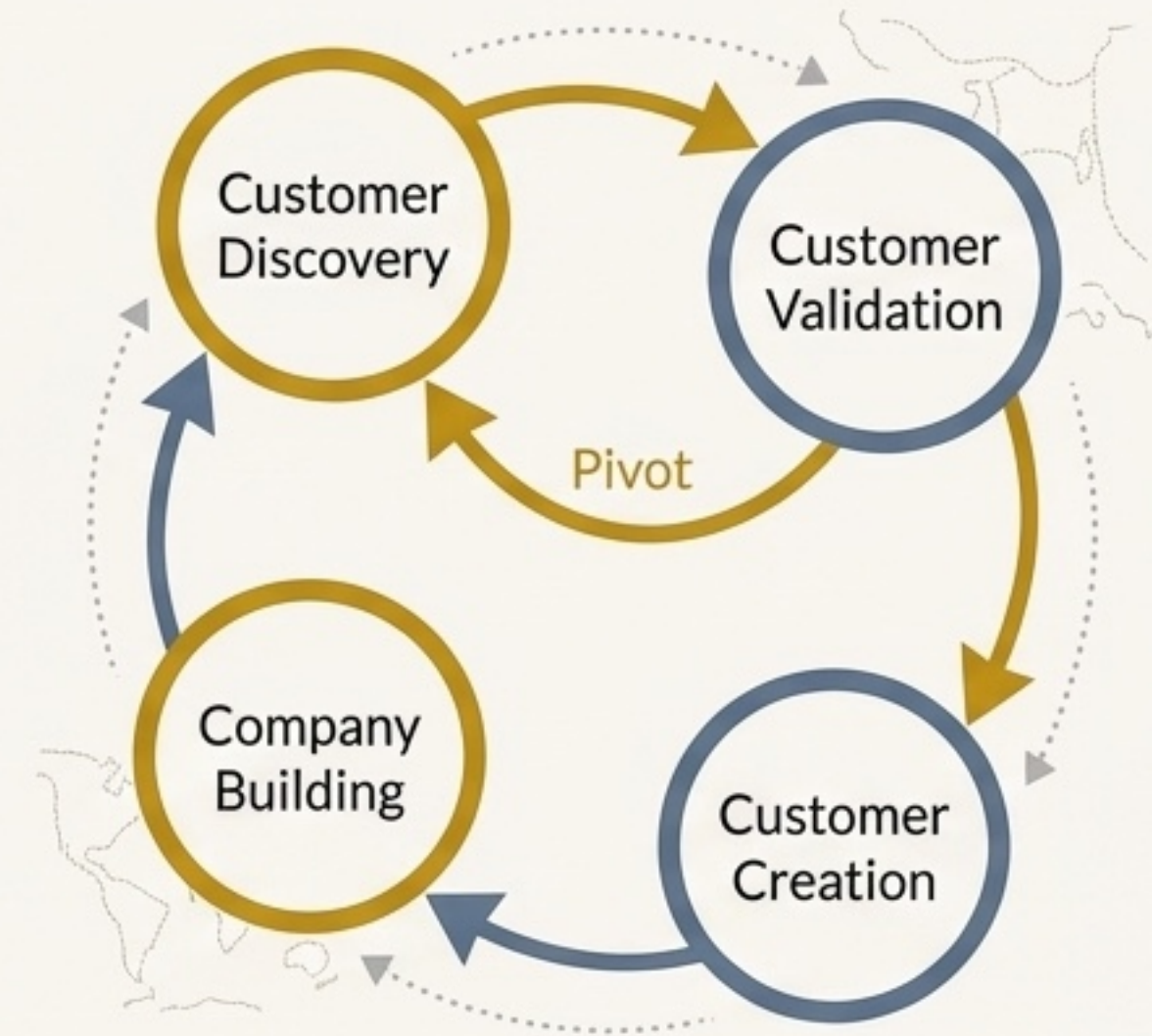
The Old Map vs. The New Compass

The Old Map - Traditional Product Development



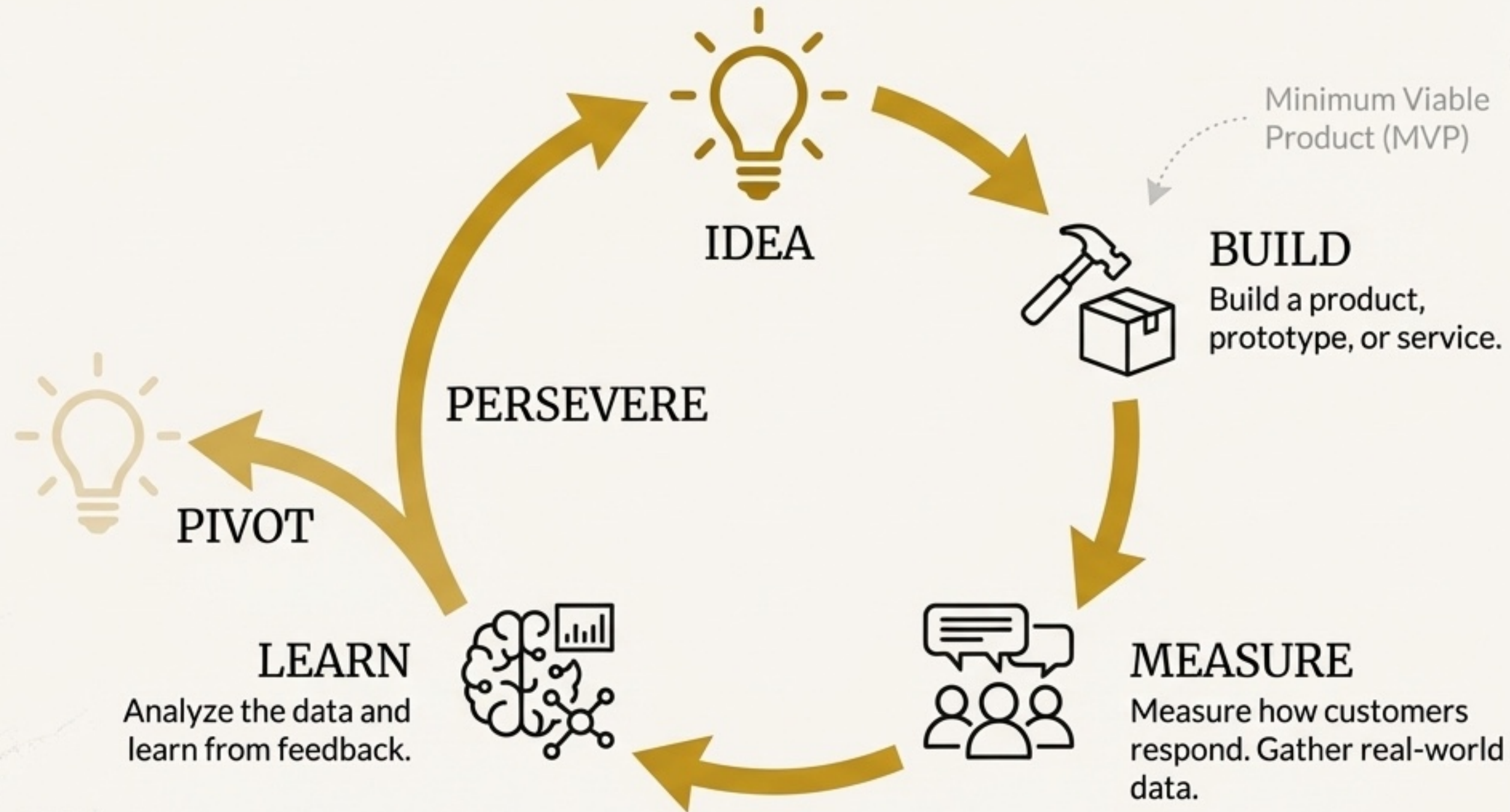
Assumes knowledge of customer problems and needs.
High risk of building something nobody wants.

The New Compass - Customer Development



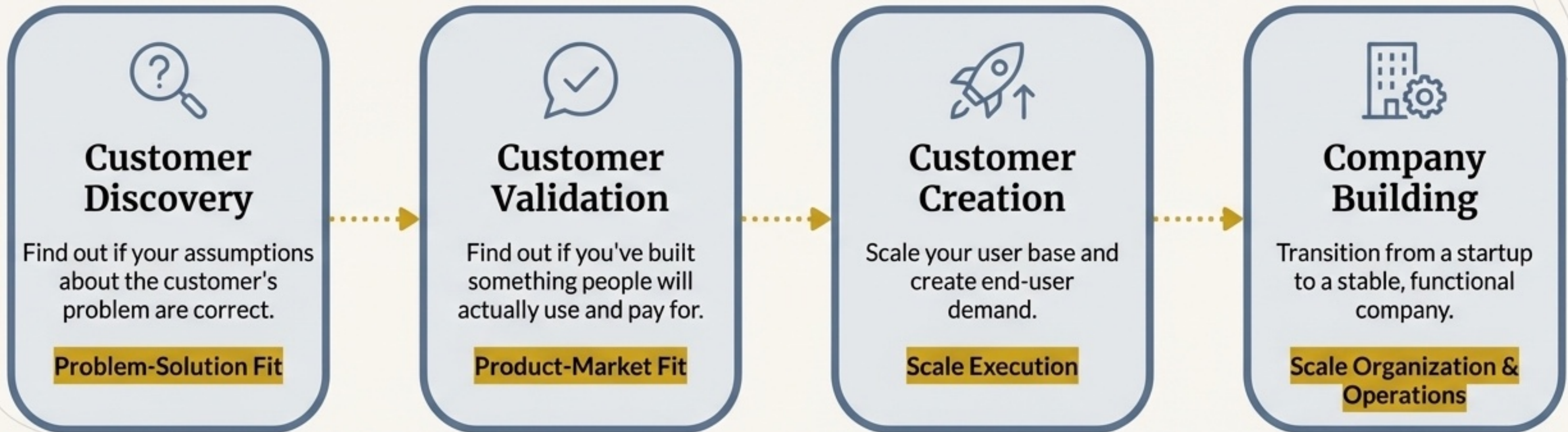
Searches for a business model through validated learning. Reduces risk by putting the customer first.

The Engine of Discovery: Build, Measure, Learn



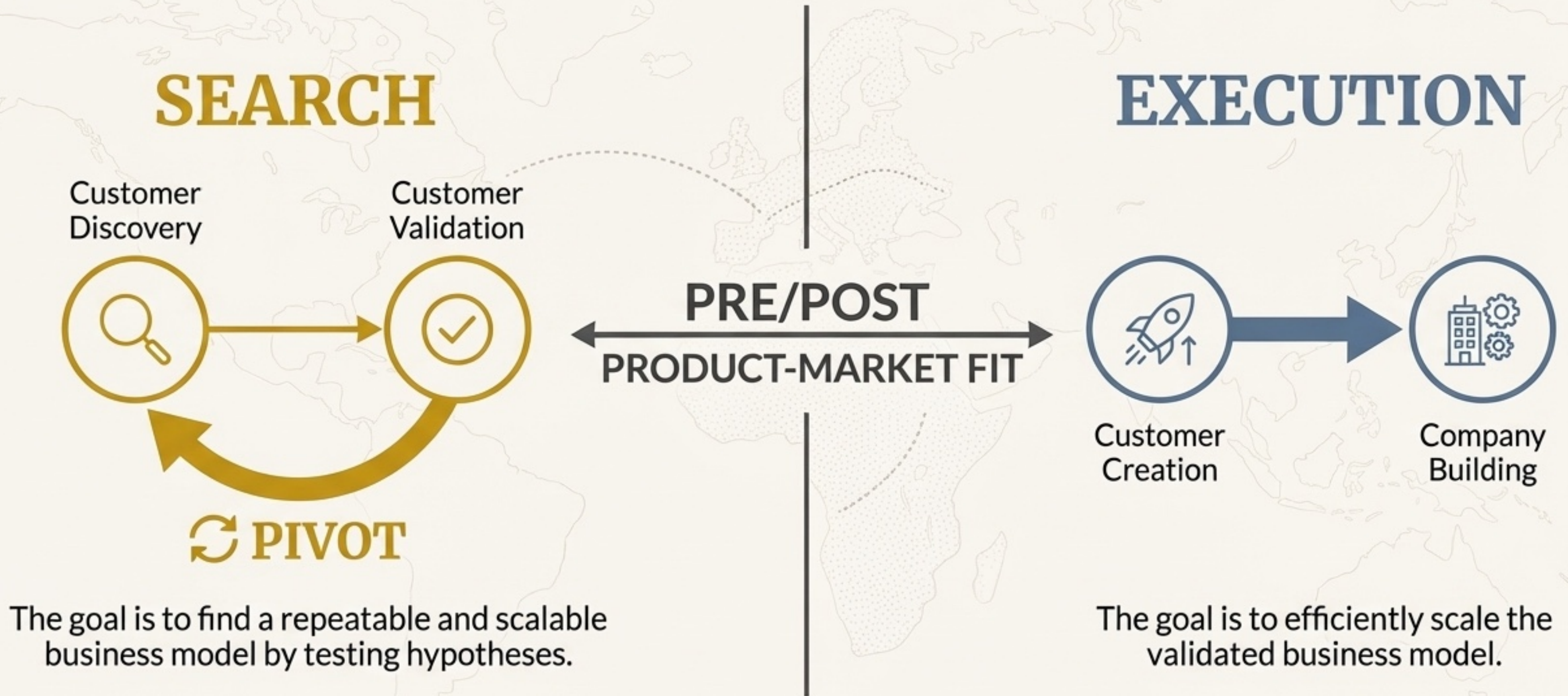
This loop is designed to minimize wasted time and effort by testing your core assumptions as quickly and cheaply as possible.

Your Map for the Quest: The Four Stages of Customer Development



A startup's first job is not to build a product, but to find a repeatable and scalable business model. This is your map to find it.

The Journey Is in Two Parts: Search, Then Execute



“No Business Plan survives first contact with customers.” – Steve Blank

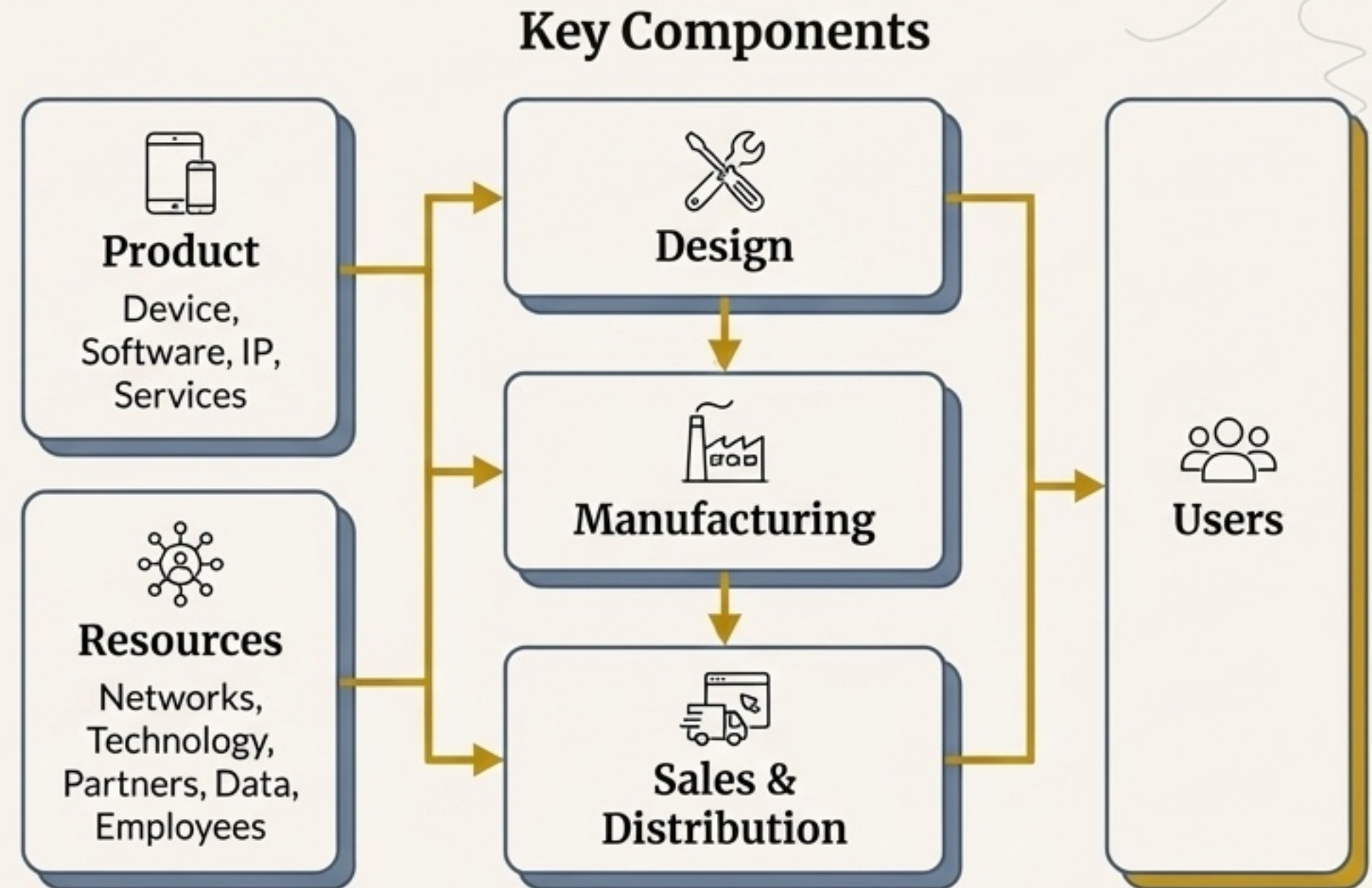
Defining the Treasure: What is a Business Model?

Formal Definition:

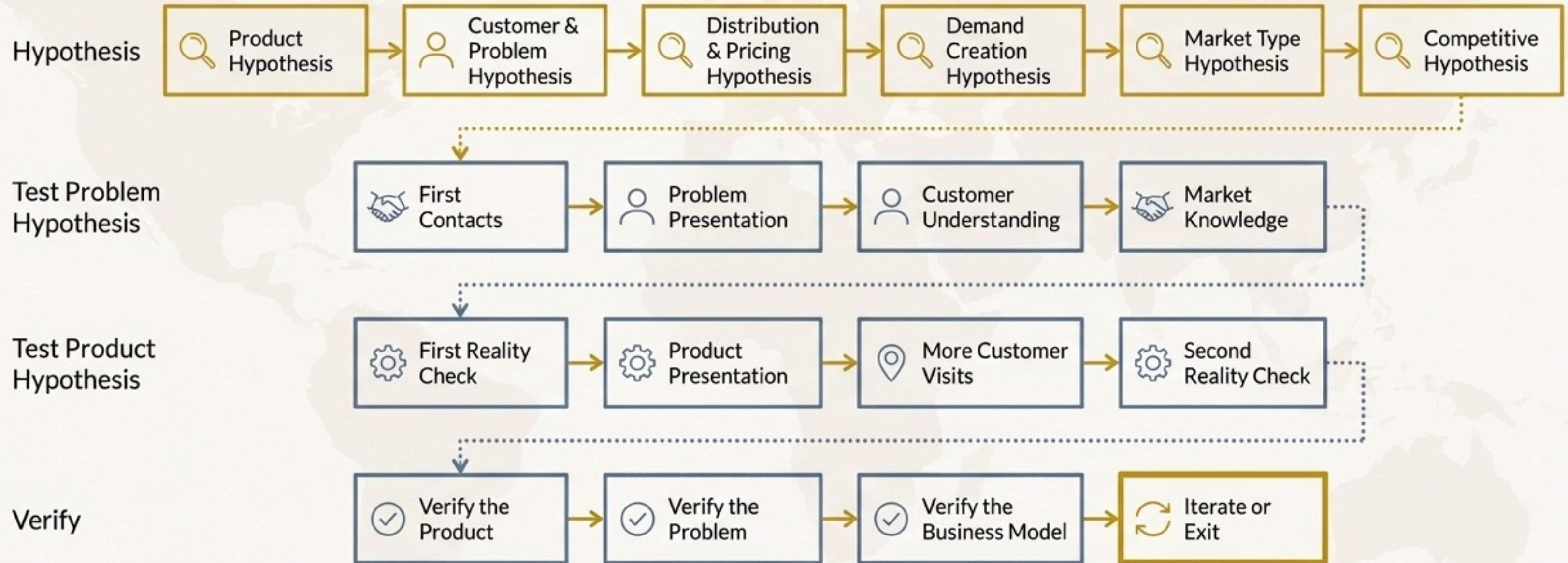
A Business Model diagrams how a company creates, delivers, and captures value.

Simple Definition:

Or, in plain English: How a company makes money.



Your Starting Point: State and Test Your Hypotheses



Customer Development is the process of testing every single unknown in your business model.

Frame Your Core Hypothesis

The first step is to form a hypothesis that defines both the problem you're solving and your proposed solution. Be as specific as possible. A good hypothesis addresses a single problem with a single solution.

The Formula

My idea solves [insert problem] by [insert solution].

Example: From Vague to Specific

❌ Vague Hypothesis

My idea solves people's need to do laundry by offering a laundry delivery service.

(Problem doesn't match the solution.)

✅ Good Hypothesis

My idea solves **the inconvenience and large time commitment** of maintaining clean laundry by offering a **24-hour convenient laundry delivery service**.

(Directly addresses the heart of the issue.)

The Detective Phase: Uncovering Customer Needs



“Your goal is NOT to seek people’s thoughts on your idea. It is to find and validate their needs *without* mentioning your solution.”

The Mindset:

- ✓ Don't rush to sell. Start LISTENING.
- ✓ You are a detective searching for clues about the problem.
- ✓ Let your customers build the product for you with their insights.

The Detective's Toolkit:

- ? Tell me how you currently do _____.
- ? How is that process working for you?
- ? What's the hardest part about _____?
- ? If you could do anything to improve your experience with _____, what would it be?

Charting Your Discoveries: The Validation Board

Track Pivots	Start	1st Pivot	2nd Pivot	3rd Pivot	4th Pivot
Customer Hypothesis					
Problem Hypothesis					
Solution Hypothesis					

Design Experiments

Core Assumptions	Riskiest Assumption ?
	Method
	Minimum Success Criterion

Results

Invalidated	Validated
1	
2	
3	
3	
4	
5	5
6	6



The Validation Board in Action: A Case Study

Pivot based on feedback

Track Pivots	Start	1st Pivot	2nd Pivot	3rd Pivot	4th Pivot
Customer Hypothesis		Customer: Professional Presenters	Customer: For-Profit Event Organizers		
Problem Hypothesis		Problem: Collect Real-Time Feedback from Attendees	Problem: Collect Real-Time Feedback from Attendees		
Solution Hypothesis		Solution: Real Time Voting app for events			

Design Experiments

Core Assumptions	Riskiest Assumption ?
Identify the biggest leap of faith.	Method 70% Event Organizers Must Have a solution for Engaging the attendees.
	Minimum Success Criterion

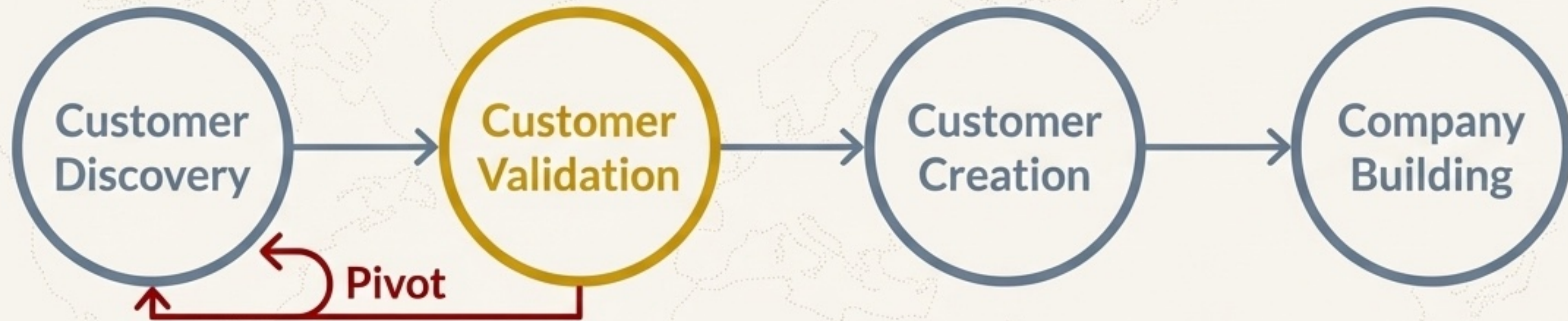
Results

	Invalidated	Validated
1	Event Attendees care about giving feedback on a event	Event Attendees would like a web app to connect with others attendees at events
2		
3		
3		
4		
5		
6		



Data drives the next decision.

Proving Your Case: The Goal of Customer Validation



Key Questions to Answer in this Phase

- Have we found a repeatable and scalable **business model**?
- Have we found passionate **earlyvangelists**? Early adopters who are also evangelists for the product

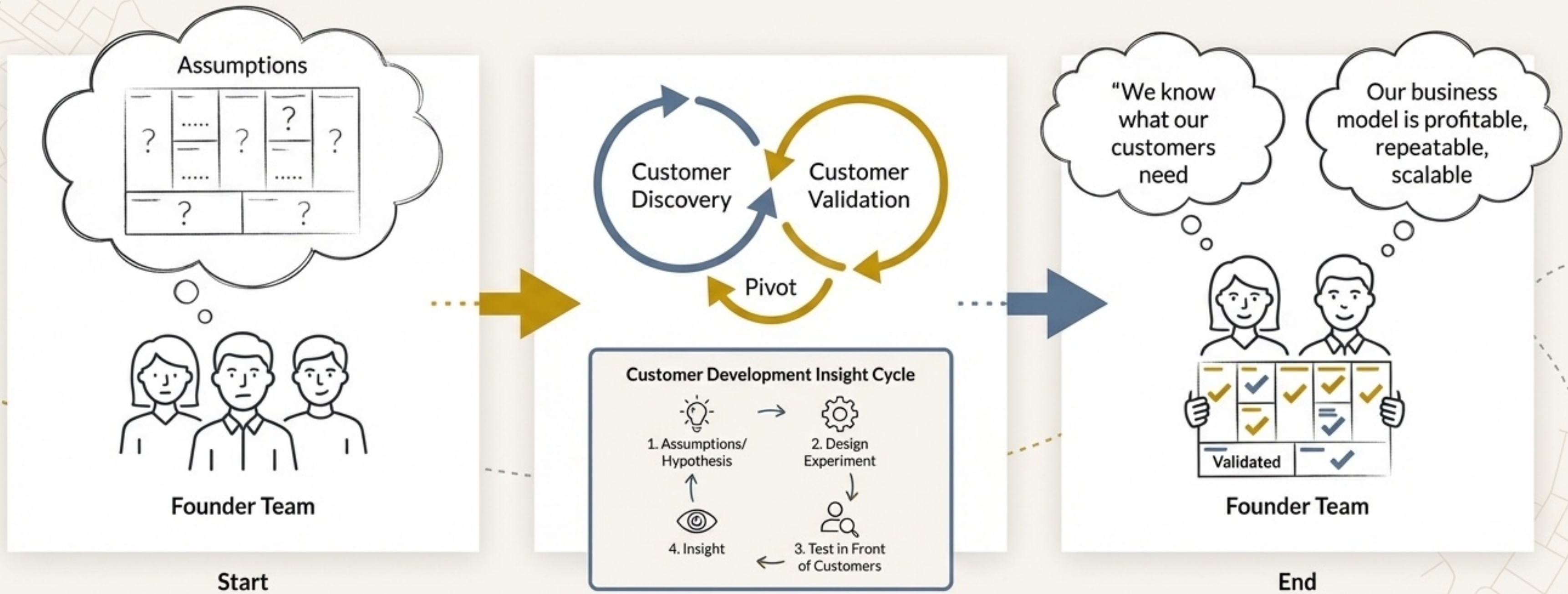
↩ **Pivot Rule:** If you can't find customers, you haven't validated your model. It's time to **Pivot** back to Customer Discovery.

How to Locate Winning Customers



Your **'earlyvangelists'** are at the top of this pyramid. They are actively trying to solve the problem and have a budget to do so. Find them.

The End of the Search: A Validated Business Model



Key Takeaway: The outcome is a proven customer acquisition model, initial orders, and a deep understanding of your sales cycle.



Customer
Discovery



Customer
Validation



Customer
Creation



Company
Building

The Quest Never Ends

You've successfully navigated the 'Search' for a business model.
You've turned unknown assumptions into validated facts.
But this is not the end; it's the end of the beginning.
The '**Execution**' phase—scaling your company—is next.

The principles of listening, testing, and iterating are the
compass you will use for the rest of your journey.

Stay curious. Keep listening. Get out of the building.